

DDPM Exam 2 — Active Recall Flashcards (Modules 4 & 5)

DDPM Exam 2 Active-Recall Flashcards (60 Cards)

This flashcard deck contains 60 high-yield active-recall questions and answers grouped by topic across Modules 4, 5, and 6.

[!IMPORTANT]

Operational Parameters & Scope Rules

- **Confirmed Operational Parameters:** 45 questions | 60-minute duration (3:30 PM–4:30 PM IST, Sun 16 Aug) | No negative marking (answer 100% of questions).

- **Source-Missing Material:** Cards based on missing local class sessions are marked as `[externally supplemented; instructor-specific coverage unresolved]`.

Module 4: Building Product Market Strategy

Topic M04-T01: Marketing Strategy and Marketing Plan ([class-confirmed])

Card 01

- **Q:** What were the three strategic growth options evaluated by Natureview Farm to reach \$20 million in revenue by 2001, and what channel did each target?
- **A:**
 1. *Option 1*: Expand 8 oz SKU into conventional supermarkets in East and Central regions (6 SKUs).
 2. *Option 2*: Expand 32 oz SKU nationally into conventional supermarkets (4 SKUs).
 3. *Option 3*: Introduce 4 oz multipack into the existing natural foods channel.
- ***Source*:** `DDPM\_Organized/03\_Sessions/S16\_2026-05-31\_Marketing\_strategy\_Prof\_Anita\_Goyal/Slides/Natureview EPDDPM-1.pdf` [class-confirmed]

Card 02

- **Q:** What was the financial structure of the slotting allowance required for Natureview Farm's Option 1 expansion into supermarkets?
- **A:** A one-time slotting fee of \$10,000 per SKU per store chain, incurred only in the first year of introduction.
- ***Source*:** `DDPM\_Organized/03\_Sessions/S16\_2026-05-31\_Marketing\_strategy\_Prof\_Anita\_Goyal/Slides/Natureview EPDDPM-1.pdf` (Slide 5) [class-confirmed]

Card 03

- **Q:** In Natureview Farm's 1999 baseline income statement, what were the percentage breakdowns of Cost of Goods Sold (COGS), Gross Profit, Sales Expenses, and Marketing Expenses?
- **A:**
 - Revenues: \$13.0M (100%)
 - COGS: \$8.19M (63%)
 - Gross Profit: \$4.81M (37%)
 - Sales Expenses: \$1.56M (12%)
 - Marketing Expenses: \$390,000 (3%)
- ***Source*:** `DDPM\_Organized/03\_Sessions/S16\_2026-05-31\_Marketing\_strategy\_Prof\_Anita\_Goyal/Slides/Natureview EPDDPM-1.pdf` (Exhibit 1) [class-confirmed]

Card 04

- **Q:** What is the break-even volume formula when evaluating a new retail channel expansion involving slotting fees and fixed ad spend?

• **A:**

$$\text{Break-Even Volume (Units)} = \frac{\text{Fixed Marketing Expenses (Slotting Fees + Ad Spend)}}{\text{Manufacturer Contribution Margin per Unit}}$$

- ***Source*:** `DDPM\_Organized/03\_Sessions/S16\_2026-05-31\_Marketing\_strategy\_Prof\_Anita\_Goyal/Datasets/Natureview Spreadsheet.xlsx` `[class-confirmed]`

Topic M04-T02: Lead Generation and Decoding Customer Journey ([class-confirmed])

Card 05

- **Q:** What are the 5 dimensions of the SERVQUAL model (RATER), and how is the service quality gap calculated?

• **A:**

• 5 Dimensions: **Reliability, Assurance, Tangibles, Empathy, Responsiveness.**

• Service Quality Gap Formula: $\text{SERVQUAL Gap} = \text{Perception Score (P)} - \text{Expectation Score (E)}$.

- ***Source*:** Parasuraman et al. (1988) / `DDPM\_Organized/03\_Sessions/S17\_2026-06-07\_Lead\_Generation\_and\_Customer\_Journey\_Prof\_Prem\_Dewani/Slides/Servequal-1.pdf` `[class-confirmed]`

Card 06

- **Q:** According to Morgan & Hunt's (1994) Commitment-Trust Theory of Relationship Marketing, what are the two central Key Mediating Variables (KMVs)?

• **A:** **Relationship Commitment** (enduring desire to maintain a valued relationship) and **Trust** (confidence in an exchange partner's reliability and integrity).

- ***Source*:** Morgan & Hunt (1994) / `DDPM\_Organized/03\_Sessions/S17\_2026-06-07\_Lead\_Generation\_and\_Customer\_Journey\_Prof\_Prem\_Dewani/Readings/Commitment and Trust theory of Relationship Marketing.pdf` `[class-confirmed]`

Card 07

- **Q:** In Thaler's mental accounting framework, what is the core distinction between Acquisition Utility and Transaction Utility?

• **A:**

• ***Acquisition Utility*:** Perceived value of the product received relative to the price paid ($U_{acq} = v(p) - p$).

• ***Transaction Utility*:** Perceived deal quality or merit of the transaction relative to a reference price ($U_{trans} = v(p^*) - p$, where p^* is reference price).

- ***Source*:** Thaler (1985) / `DDPM\_Organized/03\_Sessions/S17\_2026-06-07\_Lead\_Generation\_and\_Customer\_Journey\_Prof\_Prem\_Dewani/Slides/Mental accounting.pdf` `[class-confirmed]`

Card 08

- **Q:** What are the four operational principles of mental accounting for framing financial outcomes?

• **A:**

1. Segregate gains (multiple small positive events).

2. Integrate losses (combine into a single lump sum).

3. Integrate small losses with larger gains.

4. Segregate small gains from large losses (silver lining effect).

- ***Source*:** Thaler (1985) / `DDPM\_Organized/03\_Sessions/S17\_2026-06-07\_Lead\_Generation\_and\_Customer\_Journey\_Prof\_Prem\_Dewani/Slides/Mental accounting.pdf` `[class-confirmed]`

Topic M04-T03: Concept Testing and Product Development in B2C ([class-confirmed]) / [credible-secondary])

Card 09

- **Q:** What are the 5 response options on the standard Purchase Intent scale, and how is Top 2 Box (T2B) calculated?
- **A:**
- Scale: 5 = Definitely Would Buy, 4 = Probably Would Buy, 3 = Might/Might Not Buy, 2 = Probably Would Not Buy, 1 = Definitely Would Not Buy.
- T2B Formula: $\text{Top 2 Box \%} = \% \text{ Definitely Buy} + \% \text{ Probably Buy}$.
- ***Source*:** `DDPM\_Organized/03\_Sessions/S18\_2026-06-14\_Concept\_Testing\_Prof\_Anita\_Goyal/Recordings/1st half.m4a` `[class-confirmed]`

Card 10

- **Q:** What standard calibration discount factors (Nielsen BASES model) are applied to Top Box and Second Box survey intent to forecast actual trial?
- **A:**
- Top Box ("Definitely Buy"): Discounted to **80%** (\$0.80\$).
- Second Box ("Probably Buy"): Discounted to **30%** (\$0.30\$).
- Calibrated Trial Formula: $(0.80 \times \text{Top Box \%}) + (0.30 \times \text{Second Box \%})$.
- ***Source*:** Urban & Hauser (1993) /
`DDPM\_Organized/03\_Sessions/S18\_2026-06-14\_Concept\_Testing\_Prof\_Anita\_Goyal/Recordings/1st half.m4a`
`[class-confirmed]`

Card 11

- **Q:** What do the letters in the ATAR product adoption model stand for, and what is the market share formula?
- **A:**
- Awareness, Trial, Availability, Repeat.
- Market Share Formula: $\text{Market Share \%} = A \times T \times A \times R$.
- ***Source*:** Urban & Hauser (1993) `[credible-secondary]`

Card 12

- **Q:** What are Kotler's Five Product Levels as illustrated in the Session 18 board diagram?
- **A:** Core benefit, Basic product, Expected product, Augmented product, Potential product.
- ***Source*:** Kotler & Keller (2015) /
`DDPM\_Organized/03\_Sessions/S18\_2026-06-14\_Concept\_Testing\_Prof\_Anita\_Goyal/Screenshots/Screenshot 2026-06-14 at 16.54.07.png` `[class-confirmed]`

Topic M04-T04: Media Mix, Messaging, Packaging, and Bundling (`[class-confirmed]` / `[credible-secondary]`)

Card 13

- **Q:** What is the core operational distinction between Above-The-Line (ATL) and Below-The-Line (BTL) promotional channels?
- **A:**
- ***ATL*:** Mass media channels (TV, radio, print) aimed at building mass brand awareness and brand equity across broad segments.
- ***BTL*:** Targeted point-of-sale promotions, trade allowances, and direct marketing aimed at driving immediate conversion and sales push.
- ***Source*:**
`DDPM\_Organized/03\_Sessions/S19\_2026-06-21\_Media\_Mix\_and\_Packaging\_Prof\_Anita\_Goyal/Recordings/21st June.m4a` `[class-confirmed]`

Card 14

- **Q:** What are the three strategic business functions of packaging in product management?

- **A:**

1. ***Functional & Protective***: Preserving product integrity, safety, and shelf-life during transport.
2. ***Informational & Regulatory***: Communicating ingredient listings, nutritional facts, usage guidelines, regulatory markings, and barcodes.
3. ***Perceptual & Branding ("Silent Salesman")***: Differentiating the product visually and establishing brand positioning at point of sale.

- ***Source***: Kotler & Keller (2015) / Robertson (2013) `[credible-secondary]`

Card 15

- **Q**: What is the economic distinction between Pure Bundling and Mixed Bundling?

- **A:**

- ***Pure Bundling***: Products are available exclusively as a bundled package; individual components cannot be purchased separately.
- ***Mixed Bundling***: Products are available both individually and as a discounted bundle.
- ***Source***: Stremersch & Tellis (2002) `[credible-secondary]`

Topic M04-T05: Managing Channel Partners and Affiliates ([source-missing] — externally supplemented)

Card 16

- **Q**: What is the structural difference between Vertical Channel Conflict and Horizontal Channel Conflict?

- **A:**

- ***Vertical Conflict***: Conflict between different levels in the same channel (e.g., manufacturer selling D2C at prices below retail partner MSRP).
- ***Horizontal Conflict***: Conflict between channel members at the same level (e.g., price war between two regional distributors).
- ***Source***: Coughlan et al. (2006) `[credible-secondary]`

Card 17

- **Q**: What are the 5 bases of channel power established by French & Raven?

- **A**: Coercive power, Reward power, Legitimate power, Expert power, Referent power.

- ***Source***: French & Raven (1959) / Coughlan et al. (2006) `[credible-secondary]`

Card 18

- **Q**: What are the 3 attribution models supported in Google Analytics 4 (GA4) following the mid-2023 deprecation of rules-based models?

- **A:**

1. **Data-Driven Attribution (DDA)** (machine learning sequence evaluation).
2. **Paid and Organic Last Click.**
3. **Google Paid Channels Last Click.**

(Note: Legacy First Touch, Linear, Time-Decay, and rules-based Position-Based are RETIRED in GA4).

- ***Source***: Google Analytics 4 Specification `[official-external]`

Card 19

- **Q**: How does Adobe Marketo Measure allocate attribution credit in its U-Shaped multi-touch attribution model?

- **A**: Allocates **50%** credit to First Touch, **50%** credit to Lead Creation Touch, and **0%** credit to intermediary touches.

- ***Source***: Adobe Marketo Measure Specification `[official-external]`

Card 20

- **Q**: How does Adobe Marketo Measure allocate attribution credit in its W-Shaped multi-touch attribution model?

- **A:** Allocates **30%** credit to First Touch, **30%** to Lead Creation Touch, **30%** to Opportunity Creation Touch, and distributes the remaining **10%** equally across middle touches.
- ***Source*:** Adobe Marketo Measure Specification `[official-external]`

Topic M04-T06: Pricing Models (`[class-confirmed]`)

Card 21

- **Q:** What is the core flaw of Cost-Plus Pricing compared to Value-Based Pricing?
- **A:** Cost-plus pricing ignores customer Willingness-to-Pay (WTP) and price elasticity of demand, risking either underpricing high-value products or overpricing products with low market demand.
- ***Source*:** Nagle & Müller (2017) /
`DDPM\_Organized/03\_Sessions/S21\_2026-07-05\_Pricing\_models\_Prof\_Prem\_Dewani/Notes/2026-07-05 - Pricing Strategy, Demand Forecasting & Consumer Behavior.md` `[class-confirmed]`

Card 22

- **Q:** What defines First-Degree, Second-Degree, and Third-Degree Price Discrimination?
- **A:**
 - ***First-Degree*:** Charging each individual customer their exact maximum WTP (personalized pricing).
 - ***Second-Degree*:** Offering self-selecting quantity/tier options (e.g., ticket packages vs single game tickets).
 - ***Third-Degree*:** Charging different prices to distinct identifiable market segments (e.g., student/senior discounts, stadium seating zones).
- ***Source*:** Nagle & Müller (2017) `[credible-secondary]`

Card 23

- **Q:** In the Springfield Nor'easters case, what were the total fixed annual operating expenses, and what percentage of respondents expected to spend \$6–\$10 on concessions per game?
- **A:**
 - Total Fixed Operating Expenses: **\$1,961,379** (Exhibit 1).
 - Concession Expectation (\$6–\$10): **45%** of survey respondents (Exhibit 5 Q13).
- ***Source*:** HBS Case #2510 /
`DDPM\_Organized/03\_Sessions/S21\_2026-07-05\_Pricing\_models\_Prof\_Prem\_Dewani/Slides/The Springfield.pdf`
`[class-confirmed]`

Card 24

- **Q:** What is the optimal price markup formula based on price elasticity of demand (E_p)?
- **A:**

$$\text{Optimal Price} = \frac{MC}{1 + (1 / E_p)}$$

- ***Source*:** Nagle & Müller (2017) `[credible-secondary]`

Module 5: Defining User Experiences - Tools

Topic M05-T01: AI in Customer Experience and Personalisation (`[source-missing]` — externally supplemented)

Card 25

- **Q:** What is the primary operational difference between Rule-Based Personalization and AI Personalization?
- **A:**
 - ***Rule-Based*:** Static, manually configured logical rules based on predefined demographic or geographic segments.

- ***AI Personalization***: Dynamic machine learning models evaluating real-time clickstreams, behavioral intent, context, and historical affinity to serve personalized content.
- ***Source***: Gartner CX Architecture `[credible-secondary]`

Card 26

- **Q**: What is the difference between User-Based Collaborative Filtering and Item-Based Collaborative Filtering?
- **A**:
- ***User-Based***: Recommends items preferred by users with similar historical rating patterns.
- ***Item-Based***: Recommends items that are frequently co-purchased or co-viewed with the item currently being viewed.
- ***Source***: Aggarwal (2016) `[credible-secondary]`

Card 27

- **Q**: What is the "cold-start problem" in recommendation systems, and how do Hybrid Recommendation Engines solve it?
- **A**:
- ***Cold-Start Problem***: Collaborative filtering fails for new users or new items due to lack of historical interaction data.
- ***Hybrid Solution***: Combines content-based filtering (using item metadata/attributes) with collaborative filtering to provide accurate recommendations before interaction history accumulates.
- ***Source***: Aggarwal (2016) `[credible-secondary]`

Card 28

- **Q**: What role does Retrieval-Augmented Generation (RAG) play in enterprise GenAI customer support?
- **A**: RAG connects LLM conversational agents directly to verified internal enterprise knowledge bases, retrieving relevant context to generate accurate responses while preventing hallucinations.
- ***Source***: Industry GenAI Architecture `[credible-secondary]`

Topic M05-T02: Customer Engagement and Retention Strategies (`[source-missing] — externally supplemented`)

Card 29

- **Q**: What are the standard formulas for Customer Churn Rate (CR) and Customer Retention Rate (CRR)?
- **A**:
- $$\text{Customer Churn Rate (CR)} = \frac{\text{Customers Lost During Period}}{\text{Customers at Start of Period}} \times 100\%$$
- $$\text{Customer Retention Rate (CRR)} = \frac{\text{End Customers} - \text{New Customers}}{\text{Start Customers}} \times 100\%$$
- ***Source***: Fader & Hardie (2007) `[credible-secondary]`

Card 30

- **Q**: What is the standard simplified formula for Customer Lifetime Value (CLV)?
- **A**:
- $$\text{Customer Lifetime Value (CLV)} = \frac{\text{ARPU} \times \text{Gross Margin \%}}{\text{Monthly Churn Rate}} \times 12$$
- ***Source***: Fader & Hardie (2007) `[credible-secondary]`

Card 31

- **Q**: How does cohort retention curve analysis indicate whether a product has achieved true Product-Market Fit (PMF)?
- **A**: A healthy product retention curve flattens horizontally (forms an asymptote) over time, indicating a core group of retained users. A curve that continually trends downward to zero indicates lack of PMF.
- ***Source***: HBR Customer Retention Analytics `[credible-secondary]`

Card 32

- **Q**: What do R, F, and M stand for in RFM segmentation, and which cluster is the primary target for win-back campaigns?
- **A**:

- Recency, Frequency, Monetary value.
- Primary Win-Back Target: **At-Risk Customers** (Low Recency, High Frequency, High Monetary spend).
- *Source*: Industry Marketing Analytics `[credible-secondary]`

Topic M05-T03: Cyber Risk Management and Trust ([source-missing] — externally supplemented)

Card 33

- Q: What are the 6 core functions of the NIST Cybersecurity Framework (NIST CSF v2.0)?
- A:
 1. **Govern (GV)** (new 6th function in v2.0)
 2. **Identify (ID)**
 3. **Protect (PR)**
 4. **Detect (DE)**
 5. **Respond (RS)**
 6. **Recover (RC)**
- *Source*: NIST CSF v2.0 Specification `[official-external]`

Card 34

- Q: What is the explicit purpose of the "Govern" function newly added in NIST CSF v2.0?
- A: To establish and monitor the organization's cybersecurity risk strategy, policies, executive roles, regulatory compliance, and supply chain risk oversight.
- *Source*: NIST CSF v2.0 Specification `[official-external]`

Card 35

- Q: What are the three core architectural principles of Zero Trust Architecture (NIST SP 800-207)?
- A:
 1. **Explicit Verification** (always authenticate and authorize based on all available data points).
 2. **Least Privilege Access** (limit user access with Just-In-Time and Just-Enough-Access policies).
 3. **Assume Breach** (minimize blast radius through micro-segmentation and continuous monitoring).
- *Source*: NIST SP 800-207 `[official-external]`

Card 36

- Q: What is the core philosophy of Privacy by Design (PbD)?
- A: Privacy must be proactively built into software products as the default setting across the entire engineering lifecycle, rather than added reactively after launch.
- *Source*: Cavoukian (2009) `[credible-secondary]`

Topic M05-T04: Tableau Session ([source-missing] — externally supplemented)

Card 37

- Q: What is the functional difference between Dimensions and Measures in Tableau?
- A:
 - *Dimensions*: Categorical, qualitative fields that slice data and set the level of detail in a view.
 - *Measures*: Numerical, quantitative fields that are aggregated when placed in a view (`SUM`, `AVG`, `COUNT`).
- *Source*: Tableau Desktop Help `[official-external]`

Card 38

- **Q:** What do Blue pills and Green pills represent in Tableau?
- **A:**
- *Blue Pills*: **Discrete** fields (create distinct column/row headers).
- *Green Pills*: **Continuous** fields (create continuous quantitative axes).
- *Source*: Tableau Desktop Help `[official-external]`

Card 39

- **Q:** What are the three types of Level of Detail (LOD) expressions in Tableau, and how do they function?
 - **A:**
1. ``FIXED``: Computes aggregate at specified dimension granularity, ignoring view dimensions.
 2. ``INCLUDE``: Computes aggregate including specified dimensions *in addition to* view dimensions.
 3. ``EXCLUDE``: Computes aggregate excluding specified view dimensions.
- *Source*: Tableau Desktop Help `[official-external]`

Card 40

- **Q:** In Tableau's Order of Operations, where do FIXED LODs execute relative to Dimension Filters and Context Filters?
- **A:** FIXED LODs execute **AFTER Context Filters** but **BEFORE Dimension Filters**. (INCLUDE/EXCLUDE LODs execute *after* Dimension Filters).
- *Source*: Tableau Desktop Help `[official-external]`
